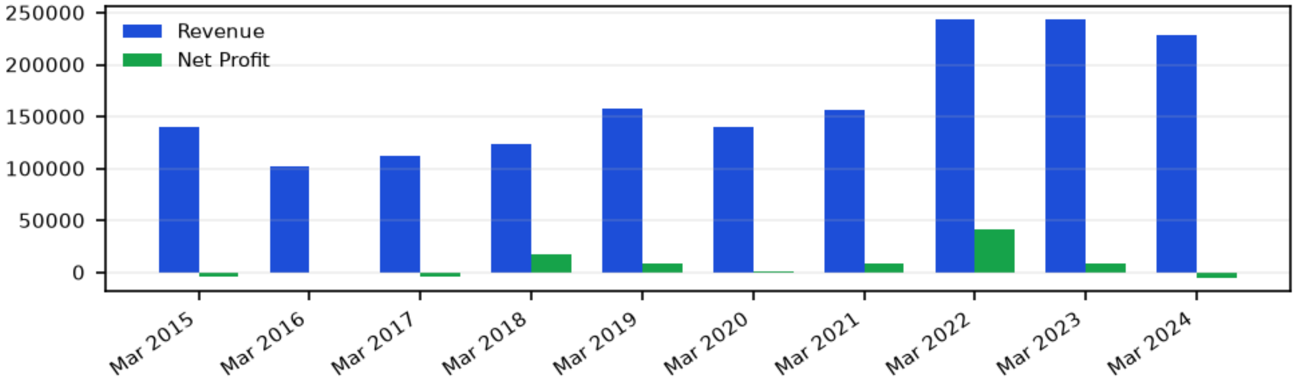
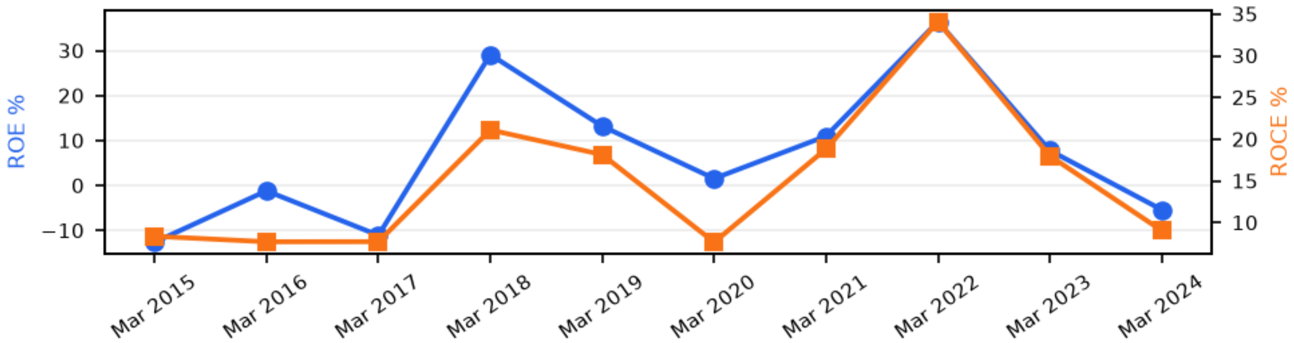
Tata Steel Ltd (TATASTEEL) Materials

Revenue 229,171 Cr	Net Profit -4,910 Cr	ROE -5.3%
ROCE 9.1%	FCF 6,048 Cr	Capital Pattern Reinvestor

10-year Revenue and Net Profit



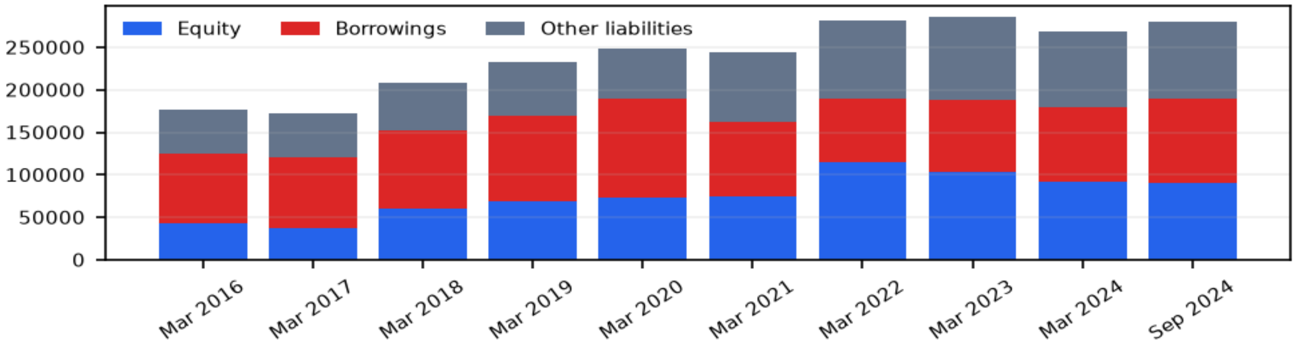
ROE and ROCE Trend

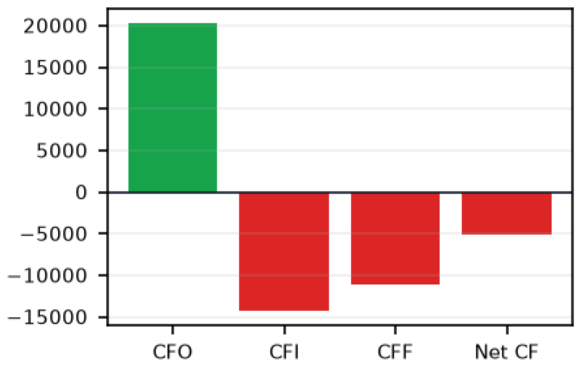


Tata Steel Ltd (TATASTEEL)

Materials

Balance Sheet Composition





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation	Reinvestor